Technical Articles Theme 10

Title: NABC and Business Model Canvas: Presenting a business idea

Videos: 115-124

Topics Covered

115. NABC: Presenting business idea
116. NABC: The Need
117. NABC-The Approach
118. NABC-The Benefit
119. NABC-The Competition
120. Business Model Canvas
121. NABC-Example
122. Business Model Canvas-Example
123. Discussion Group : angle investor and venture capitalist (Part 1)
124. Discussion Group : the investors' perspective on loan applications (Part 2)

Entrepreneurship MGT602

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NABC and Business Model Canvas: Presenting a Business Idea

It is important to know that a business idea whether it is sourced from your daily routine, the problems you see in the society or from the unmet needs of the people around you (i.e. water resources, health issues, energy issues, travelling, food and so many other problems) is initially in a raw form. Once you have identified a business opportunity and have prepared a rough business idea sketch in your mind, the very next critical phase it refine that business idea. You need some resources to start that business and it is not necessary that you have all the resources with you to start that business at once. You need others' help in order to materialize your thoughts. You may find help from your immediate family members, other investors or from the open market sources. In each condition you need to present your business idea in a meaningful, structured and organized way. There are numerous ways to present a business idea but we need to find one which is convenient, easy to understand and smoothly presentable.

Here we present the ***Need Approach Benefits Competition (NABC) approach***, a framework to better structure and present your business idea. NABC is originally presented by Stanford University. As we all know that the effective pitching of your business idea to the potential investors and other stakeholders is very critical. So a very smart presentation of the business idea is an ideal approach to reach potential stakeholders of a business idea.

Stanford Research Institute defined NABC approach as *"An important client or market need addressed by a unique approach with compelling benefits when compared against the competition or alternatives"*

Let's understand NABC importance with the help of an example.

Suppose feel hungry and sitting in you Virtual University Campus at the lunch time. After a little ponder you have decide to go to a nearest tuck shop, a place that is trusted by you for good quality food with economical price. You avoid to go farther and other market places to avoid unnecessary fatigue and wastage of time.

You need to do a little activity here; that is to attribute this moment of thinking, analysis and decision making (finding a suitable, quick and affordable food option) to NABC components. This activity will enable you to find insights to NABC components from an entrepreneur's perspective. An entrepreneur actually needs to exactly refine and structure his business idea by considering the Need, Approach, Benefits and Competition factors of the services or goods being offered to the market. NABC components are collectively considered as the backbone of a business idea pitching sequence and content. It elaborates the **Need** you are addressing (the actual problem in consideration), the **Approach** you are using to address the issue/need (tools, strategies, plans etc.), the **Benefits** this business idea will provide (financials, profits, needs fulfillment etc.) and finally the details about the market **Competition** (competitors, industry dynamics etc.).

Need

It is indeed important to know the individual components of NABC one by one. First component is Need. Need must identify the customer and the market you are offering product to. It is important to remember here that any service or good can sustain, grow and survive whose market exists with its customers and their demands. You need to be very clear with what need of the market or the customers your aim to fulfill. And also need to identify needs with large enough market which can offer sustainable market opportunity. An entrepreneur answers the following question at this stage of NABC preparation.

- ***What is the need?***
- ***What is its market size?***
- ***Is it sufficient enough to be a potential investment opportunity?***

Another thing to be remembered during need identification is that you need to build a solid case on an authentic facts based evidence (either through a survey, a statistical report, a market research or a concrete observation) which argues that a particular need/opportunity exists in the market. Clearly pinpointing the need, its market size, sustainability potential and its scientific evidence are the basic parameters to build a convincing argument in front of potential stakeholders of your business idea.

Approach

After clearly pinpointing the need, the next phase is to finalize the approach through which that need will be fulfilled. ***Approach discusses the tool, resources, mechanism, plan and strategy to fulfill the needs of the target customers.*** It is most important to keep your approach simple, smooth, updated and state of the art to meet the dynamic market demands.

Benefits

After identifying the need and devising a sound approach to serve that need now it is the time to list the benefits of the idea being presented to the stakeholders. The benefits package must be unique or sometimes it could be closer to other people's offering in the same target market. This will be your point of difference to other players in the market. At this stage you have to precisely list down the details about the benefits you are offering to the unserved market and customers. ***Usually market or customers demand three types of products or services. Customers need low cost, economical, high quality, better quality products and services simultaneously and so you need to give them a reason to switch to your offer and leave the previous one if any.*** Your benefit must be substantial enough to conquer the market battle. It is to remember here that this portion of a business idea presentation can become a reason to win or lose for you.

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Competition

After refining the need, approach, benefits of a business idea now this is the time work on the competition factor. It is the dilemma of the startups or the novel entrepreneurs that the focus too much on their approach to do the business. They are very much product centered and thus ignore the marketing forces i.e. competition. Thus they are more tilted towards thinking about approach factor and least bother about the market competition. We develop an exaggerated view of our product and contrarily we underestimate others products and services. ***We must be rightly critical to our own approach and must lookup that how competition can affect our business idea. It is equally important to precisely present the details about your current and potential competitors.*** You also need to elaborate how competition can affect your business proposition and how you are better than your competitors. All you need to do is answer what you will do? How will you do it? What are its benefits? Who are your competitors? You identified the need with some research based evidence, devised a fascinating approach, and described well versed benefits but you have half-heartedly analyzed your competition. This notions say that you have incomplete information about your business idea and it will be difficult for you to pitch your business idea effectively. Important need, with unique approach, compelling benefits and smooth competition description is the output of NABC framework.

Example of Uber (Car riding service)

Let's take the example of how Uber (Ride sharing services) has successfully identified and addressed the customers' **need** of travelling. Uber has successfully identified a market (a set of customers) who do not have their own vehicles and those customers also find public transport a low quality option. Uber aims to serve the market by offering an affordable, reliable and quality transportation service. Uber has used a unique, state of the art **approach** to fix the travelling needs of the customers. Uber has used android based application platform to connect the different market forces. Uber application is being used as a technology driven modern tool to connect customers (people with travelling needs), captains/drivers (people who have their own vehicles and they choose to earn livelihood through ride sharing services) and a third party (Uber as an entrepreneur itself). It is easy to understand that Uber application simply inputs the customer call in form of travel destination and fetch that call to the interested drives on board. Once the ride service offer is accepted and the ride has been completed the driver collects the payment directly from the passenger. In this way need of the customers is fulfilled using a dedicated technological tool. Uber has offered low cost/economical, affordable and simultaneously high/better quality ride sharing services. The mentioned service package when compared to ordinary riding service (conventional cab services high cost and low quality) or public transport (low cost low quality) prompts numerous **benefits** to the customers. Uber services are affordable and it's fair calculating and fair collecting mechanism is transparent and standardized thus offers a much contended and mutually agreed transaction of services between the two parties. Uber has outperformed its **competitors** by offering reliable, better, cheaper and faster services.

Business Model Canvas

Once business idea is refined through NABC and you have a presentable, articulated and nourished NABC framework of your business idea. The next step is to develop a business model canvas to further elaborate your business idea. Just like an artist uses a canvas or a blank paper two draw his thoughts and craft a master piece of art with symbols, gestures, lines and colors, the entrepreneur draws his business model canvas in the same way. The basic difference between NABC and business model canvas is that the purpose of NABC framework is to structure your business idea whereas the business model canvas draws a detailed picture of your business idea.

Wikipedia defines the business model canvas as "The Business Model Canvas is a strategic management template used for developing new business models and documenting existing ones. It offers a visual chart with elements describing a firm's or product's value proposition, infrastructure, customers, and finances assisting businesses to align their activities by illustrating potential trade-offs"
Source: https://en.wikipedia.org/wiki/Business_Model_Canvas

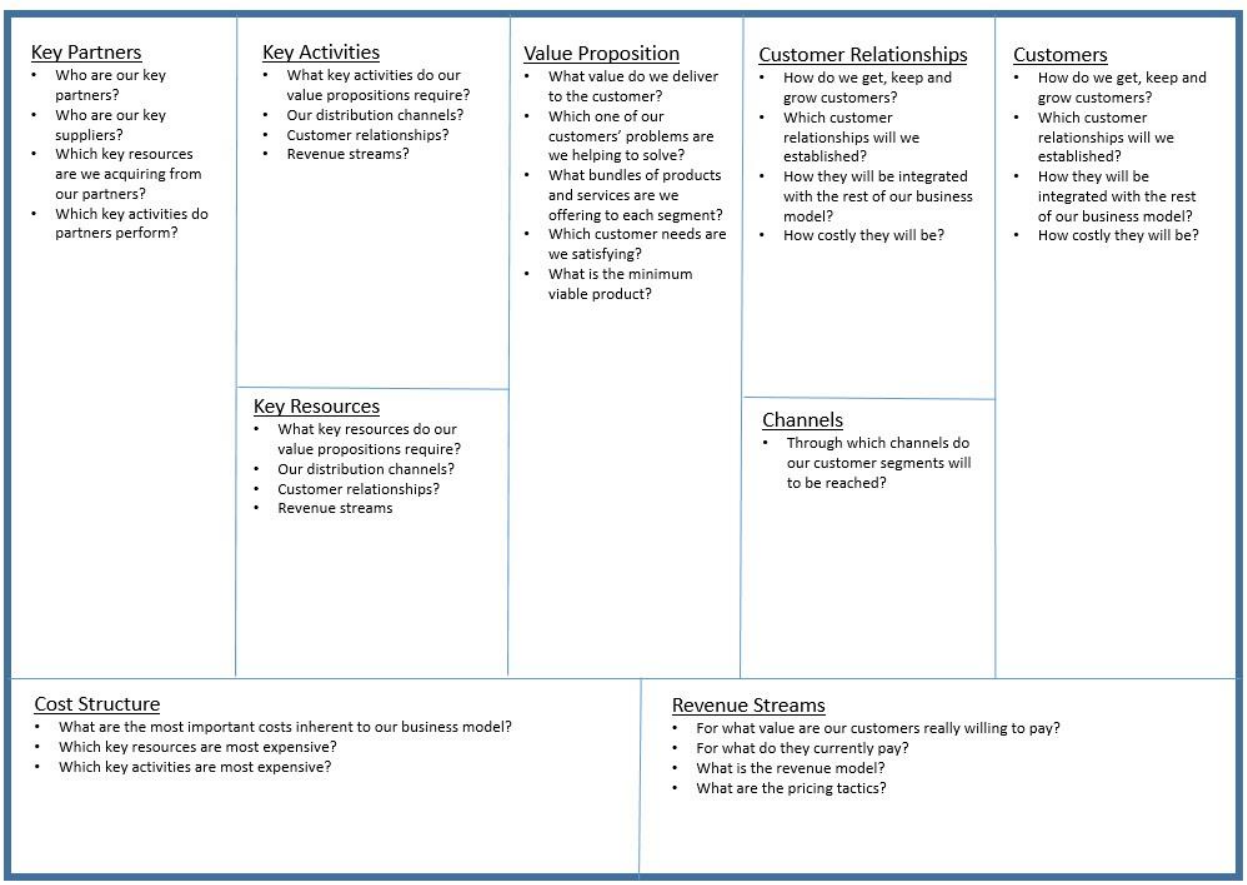
By looking at the definition you will be able to understand the individual segments of business model canvas and their utility. Business model canvas answers the following questions to the readers or the viewers.

1. How do you acquire customers?
2. How do you plan and manage the relationship with the new customers?
3. How do you charge your customers?
4. What is your revenue model?
5. How much do you charge your customers?
6. Can you calculate your revenues for the next month, quarter and year?
7. What assets are available to you or under your control?
8. Who are your key partners?
9. What key activities do you need to engage in to deliver your value proposition?
10. What are your fixed, variable costs and how you calculate your future costs?
11. Does your revenue forecast demonstrates increase profitability towards the end of the forecast period?

The detailed general framework of a business model canvas is shown in table1.

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Table 1: Business Model Canvas with general questions



Vagi-Fresh (Example of a business Idea)

A novel entrepreneur dreams to convert his business idea into a business empire. In fact he wants to materialize his business idea into a workable physical business. Let's take an example of a business idea. **"The idea is to offer everyday fresh vegetables on a bicycle based mobile outlet to the households"**

Q-What is the important customer and market need? (*The Need*)

Answer: Unavailability of fresh and cut vegetable at competitive rates at the door step is a problem for the households. Issue of managing buying of fresh vegetable and cutting it for meal preparation as faced by the working women (As reported by working women) is an addressable problem. This need analysis is based on the facts: Total population of Pakistan has exceeded 200 million with women about 49%. There are 32 million households in Pakistan. About 24% of women are the part of the workforce.

Q-What is the unique approach to addressing this need? *(The Approach)*

Answer: Bicycle based mobile outlet of vegetables having cool box installed in it for keeping the vegetable fresh throughout the day, offering fresh whole vegetables, fresh cut vegetables and fresh

boiled vegetables ready to be cooked. Outlet will work under the brand name Vagi-fresh and be supported by a website where customers, working women, may order fresh vegetables of choice 24 hours before the delivery to be made at the door steps. Vagi-Fresh will start as one outlet aiming at the chain of outlets.

Q-What are the specific benefits resulting from the approach? *(The Benefit)*
Answer: Availability of fresh and hygienic vegetables to working women throughout the day **(Quality/Standard Product)**. Availability at the door step in desired form, whole/cut/boiled **(Convenience).** At competitive prices **(Affordability/Low Cost for Customer)**
Q-Why must we win?
Answer: Because we are offering what the target market exactly wants.

Q-How/Why are the offered benefits superior to the competition/alternatives?*(The Competition)*
Answer: Standardized quality, availability at the door step, in the desired form and at affordable prices make our offering superior to the competition. Everyone has alternatives. We must be able to tell our client or partner why our solution represents the best value. Conventional vegetable shops offer heterogeneous quality and usually do not suit to the working women owing to their work-life schedule. Our solution offers utmost convenience with quality and affordability.

Our Pitch (Standardized Quality at your door step within an affordable price. What else one can desire.)

Just like NABC framework for Vagi-fresh we also need to build its business model canvas.

Table 2: Business Model Canvas with Vegi-Fresh example

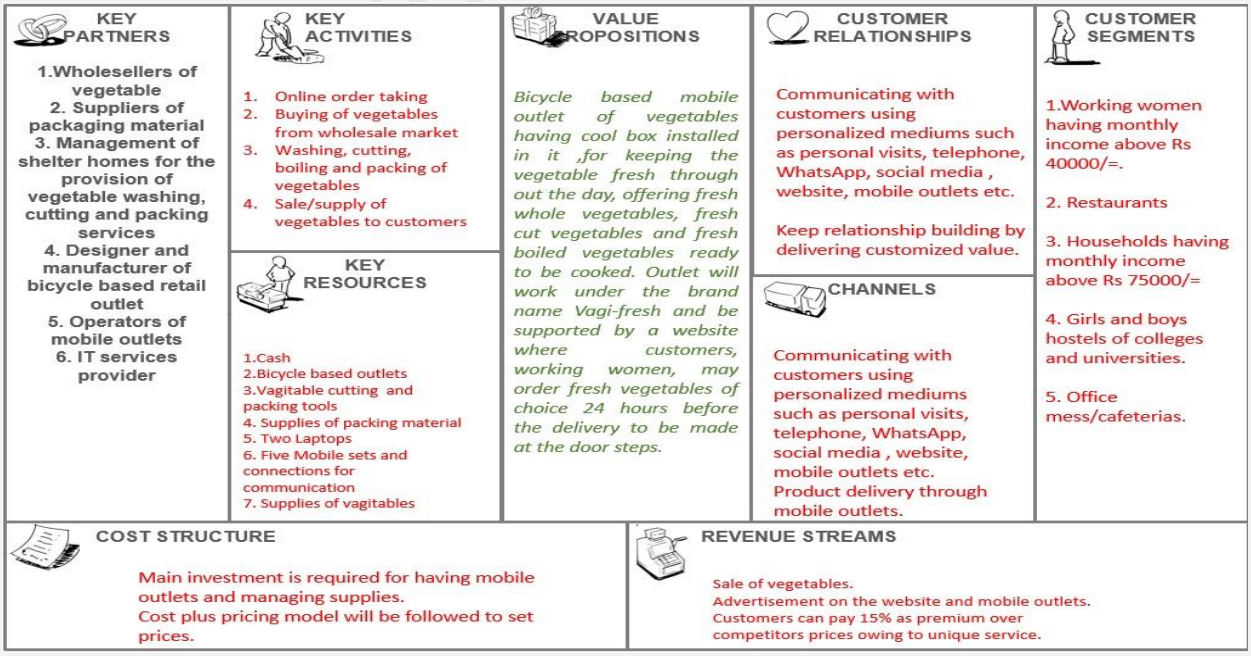


Table 2 answers all the questions of basic concern in a business model canvas.

Please watch the video lectures uploaded on VULMS for the topics related to interview based discussion on angel investment, venture capitalist and loan applications

- Video lecture 123: Angel investors and venture capitalist
- Video lecture 124: the investors' perspective on loan applications

Note: *It is advised to form NABC framework and business model canvas according to your dream business idea and keep practicing alongside the learning about different particulars of both approaches. Hopefully this exercise will be helpful you to form an effective NABC framework and a presentable business model canvas of your business idea. Never forget that perfection is hidden behind the iteration (practicing and rethinking and again practicing the content you are producing).*

----------The End----------

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